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Guide for Accessing Readiness Support

Country Window

Readiness and Preparatory Support Programme:
Operational Modalities for the 2024-2027 Strategy

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Table of Abbreviations

CN	Concept Note
DP	Delivery Partner
FMCA	Financial Management Capacity Assessment
FP	Funding Proposal
GCF	Green Climate Fund
LDC	Least Developed Countries
LTA	Long-Term Agreements
LTS	Long-Term Strategy
NAP	National Adaptation Plans
NDA	National Designated Authorities
DbM	Disbursement by Milestones
RRMF	Readiness Result Management Framework
SIDS	Small Island Developing States
TOR	Terms of Reference

I. Objective of the Guide

This guide is designed to provide details on accessing support from the GCF through its Readiness and Preparatory Support Programme (the Readiness Programme), in line with the Readiness Strategy 2024-2027, using the country support financing modality. The current guide is subject to further refinement based on feedback and findings from the participatory operationalisation of the new modalities. This aims to enhance efficiency and speed of access while ensuring impactful readiness support and practical results in advancing country capacities.

II. Readiness Programme Overview

The Readiness Programme is a key initiative established under the GCF Governing Instrument. It is designed to provide resources for capacity-building activities and technical assistance to enable countries and entities to directly access GCF and other climate funds. Operational for nearly 10 years, the programme has supported countries in strengthening their institutional capacities, coordination mechanisms, and strategic frameworks, including Nationally Determined Contributions (NDCs) and National Adaptation Plans (NAPs), to develop climate action agendas.

Building on the successes and lessons learned over the past years, the GCF has revised the readiness strategy to align with the broader [GCF Strategic Plan for 2024-2027](#). This revision focuses on ensuring that readiness finance enhances country ownership and supports direct access to GCF resources and wider climate finance.

The Readiness Strategy 2024-2027 outlines three key objectives, applicable to both countries and DAEs:

Objective 1: Effective climate finance coordination and sequencing for climate investment planning and execution, including strengthening the enabling environment. The readiness portfolio target is set at 30 per cent of the USD volume of readiness resources to ensure fit-for-purpose support that lays the foundations for country programming capacities and direct access;

Objective 2: Paradigm-shifting pipeline development and implementation for adaptation and mitigation measures in line with countries' priorities and GCF programming targets. The readiness portfolio target is set at 60 per cent of the USD volume of readiness resources to signal a strong focus on advancing programming capacities and direct access and to ensure adequate resources; and

Objective 3: Use of knowledge-sharing and learning as one of the most impactful tools for capacity-building, particularly with respect to solving climate challenges that are common and shared by neighbouring countries and peer stakeholders. The readiness portfolio target is set at 10 per cent of the USD volume of readiness resources to provide laser-sharp focus on impactful and carefully crafted activities.

III. Country Financing Modality

Total Envelope: Countries¹ can access a total envelope of up to USD 7 million per country over 4 years for the integrated planning and implementation of adaptation and mitigation measures. This includes

¹ All developing country Parties to the UNFCCC can access the Readiness Programme.

previously available support for NAP formulation (NAP.1) for countries that have not yet fully utilised it². Additionally, countries can submit an additional request for up to USD 3 million for NAP implementation (NAP.2) if the main envelope has less than USD 250,000 remaining in committed funds³. This additional funding is based on a mutually agreed clear need and demonstrable impact on NAP implementation.

The following examples provide further clarification on the financing modalities:

Clarification Example 1

Scenario 1 - Country A has never accessed USD 3 million for NAP formulation (NAP.1) prior to 1 April 2024. Country A has access to the full USD 7 million with the apportioning of funds as it deems appropriate to develop, advance and implement mitigation and/or adaptation measures in line with its national climate strategies. If upon utilising⁴ USD 7 million for adaptation and mitigation activities, there is a need for further support specifically with adaptation measures, Country A can access up to USD 3 million of additional support (NAP.2) based on a clear and justifiable need for such support and a demonstrable impact on the implementation of the adaptation action. The request for NAP.2 can be submitted once USD 7 million have been committed with the balance of remaining funds falling below USD 250,000.

Clarification Example 2

Scenario 2 - Country B has accessed and partially utilised USD 3 of NAP.1 prior to 1 April 2024. For example, such partial utilisation of NAP.1 leaves USD 1.5 million of remaining balance of NAP.1. Country B has access to USD 1.5 million (NAP.1) and to USD 4 million within 2024-2027, with any split of the total funds between mitigation and adaptation measures as it deems appropriate in line with national priorities. If upon utilising USD 5.5 million, there is a need for further support specifically with adaptation measures, Country B enjoys access to NAP.2 based on a clear and justifiable need for such support and a demonstrable impact on the implementation of the adaptation action. The request for NAP.2 can be submitted once USD 5.5 million have been committed with the balance of remaining funds falling below USD 250,000.

Clarification Example 3

Scenario 3 - Country C has fully utilised USD 3 million of NAP.1 prior to 1 April 2024. It has access to USD 4 million for adaptation and mitigation activities. If upon utilising USD 4 million, there is a need for further support specifically with adaptation measures, Country C enjoys access to NAP.2 based on a clear and justifiable need for such support and a demonstrable impact on the implementation of the adaptation action. The request for NAP.2 can be submitted once USD 4 million have been committed with the balance of remaining funds falling below USD 250,000.

Least Developed Countries (LDCs) and Small Island Developing States (SIDS): In addition to the main funding envelope, LDCs and SIDS countries have access to an additional USD 320,000 over four years. This supplementary support, provided through a Placement Scheme, is specifically designed to address the

² The initial allocation of USD 3 million for NAP formulation ('NAP.1') is a non-time-bound allocation provided on a per-country basis. Consequently, access to this allocation is not subject to time constraints, and support under this financing modality may be submitted at any point between 2024 and 2027.

³ 'Committed funds' refers to financial resources that have been allocated [by GCF], though not yet necessarily disbursed. It signifies that these funds are set aside for a particular use and are no longer available for other planning purposes.

⁴ Refers to 'committed funds'

significant limitations and constraints in human and institutional capacities faced by LDC and SIDS countries.

GCF Placement Scheme⁵: The GCF Placement Expert is an optional resource made available in the 2024-2027 period. For LDCs and SIDS, funding can be sourced from the dedicated allocation of USD 320,000 per country over four years. Other countries may utilise their total funding envelope to cover the costs of the Placement Expert. The Placement Expert may be requested at any time in 2024-2027, for any duration subject to availability of funds.

These experts are trained in GCF policies and systems and will support GCF activities within the country. A standardised **Terms of Reference (TOR) for the Placement Expert** is provided and can be tailored to the country's needs in coordination with the GCF Secretariat.

The scheme focuses on local experts to leverage their knowledge and advance GCF climate financing. More details are available on the GCF website.

Eligible and non-eligible costs: The Readiness Programme offers flexible, on-demand support without specifying eligible activities. Although activities are not restrictively listed, some costs are classified as eligible and others as non-eligible, as detailed in Annex 1.

VI. Access to Readiness

Who Can Access: Under the country modality, funding is available to developing countries for initiatives that benefit relevant institutions and stakeholders, either individually or collectively.

How to Access: Based on strategic, medium-term planning, developing countries may access readiness funding for "integrated programme(s) of activities" with funding amounts commensurate to targeted outcomes, as outlined below.

Main Window Request Up to USD 4 million and USD 3 million⁶ for NAP.1 Programme size: Min → USD 1 M Max → USD 7 M	→ One programme of activities for four-years, addressing the readiness objectives across mitigation and adaptation in an integrated manner. To ensure adaptive management, one four-year programme of activities shall incorporate a mid-term review that serves to confirm that the design remains well-suited to the context and to evaluate the appropriateness of the initial design in light of emerging opportunities or potential obstacles that could significantly impact the programme of activities. or Two programmes of activities, based on the four-year planning submitted with any combination of USD funding between them, up to the total envelope allocated for the country modality.
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⁵ Comprehensive details on the Placement Scheme can be found on the GCF website.

⁶ Countries that have partially utilised the NAP.1 support, can still make complete use of this instrument, i.e., access the remaining funds of the USD 3 million through an integrated readiness programme under the main window request. Please note the earlier footnote: the NAP.1 is a non-time-bound allocation provided on a per-country basis. Consequently, access to this allocation is not subject to time constraints, and request for support under this financing modality may be submitted at any point between 2024 and 2027.

There are no restrictions on the timing of these two programmes; they can be requested concurrently or sequentially.

This flexibility caters to different objectives or significantly different areas of capacity-building or responsible and/or beneficiary agencies, and/or Delivery Partners (DPs), if and when the integrated approach does not yield beneficial outcomes.

Additionally, the following access modalities are offered to provide flexibility and to cater for the varying conditions and needs of developing countries:

Additional Request

Placement Expert for LDCs and SIDS

Up to USD 320,000

→

A request can be submitted to cover the cost of placement or assistance of an individual expert(s) to address the human and institutional challenges unique to LDCs and SIDSs⁷.

This new instrument facilitates the recruitment of a local expert from the respective country to effectively address specific human and institutional challenges encountered in the engagement with the GCF. Additionally, it aligns with the long-term goal of nurturing local talent and enhancing skills critical to national climate priorities of LDCs/SIDS.

A Placement Expert can be requested at any time during the 2024-2027 period, for any duration, subject to the availability of funds within the relevant country allocation.

Additional Request

Global Placement Expert

Covered from the total country envelope

→

A request can be submitted to cover the cost of placement or assistance of an individual expert(s) to address the human and institutional challenges by other countries that are not LDCs and SIDSs. The cost of the placed expert counts against the four-year cap of the country support modality⁸.

This new instrument facilitates the recruitment of local experts from the respective countries to facilitate engagement with the GCF and nurture and leverage local talent.

A Placement Expert can be requested at any time during the 2024-2027 period, for any duration, subject to the availability of funds within the relevant country allocation.

Additional Request

NAP Implementation

→

A request can be submitted to cover additional support for NAP implementation if required over and above the support provided using the USD 4 million and the USD 3 million of NAP formulation. This will be made available based on clear

⁷ A Placement Expert can be requested at any time during the 2024-2027 period, for any duration, subject to the availability of funds within the relevant country allocation (USD 320,000 for LDCs/SIDS. For other countries, from the total country envelope).

⁸ Ibid.

Up to USD 3 million

justification of the need and demonstrable impact on the implementation of the adaptation action⁹.

Additional Request

Multi-country/multi-DAE programmes

Covered from the total country envelope

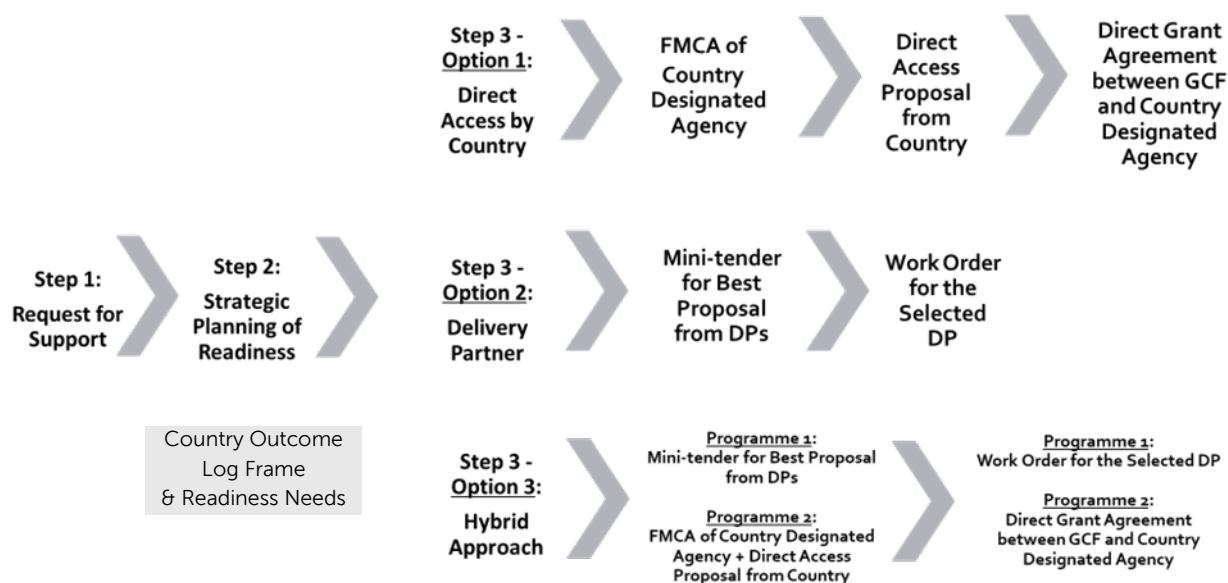
→

A request can be submitted by countries, or the GCF Secretariat may proactively offer, multi-country readiness programmes for climate change adaptation and mitigation that transcend national and regional boundaries, recognising the shared vulnerabilities and exposure to climatic shocks faced by these regions. This includes promoting cooperation for technology transfer and innovation in the context of climate change through North-South as well as South-South cooperation.

These multi-country programmes count against the four-year cap of the country support modality. In cases where GCF initiates the programme design, it will seek consensus on the proposed outcomes, outputs, and activities from participating National Designated Authorities (NDAs) and focal points, leveraging their coordination roles.

How to Access – Step by Step: Access to readiness support follows a structured three-step process, as outlined in Figure 1 below and detailed in this section.

Figure 1. Structured Process for Accessing Readiness Support



⁹ Support for NAP implementation ('NAP.2') includes comprehensive readiness assistance for executing adaptation plans. Countries can access funding for capacity building and technical assistance to ensure the effective implementation of measures identified in their NAPs. Key areas of support may include, but are not limited to, strengthening national institutions and entities to effectively implement adaptation measures, conducting specialised studies or assessments to develop concept notes and funding proposals for larger-scale financing, and mobilising public and private sector participation to enhance the scale and impact of adaptation measures, establishing robust monitoring and evaluation systems to track progress and align with both national and GCF reporting requirements.



Step 1. Request for Readiness Support

To access readiness support, NDAs/focal points, in their coordination capacity, submit a request to the GCF Secretariat. A standardised one-page template for Request for Support is digitised in GCF Partner Portal.

The request should clearly specify the preferred method of access (refer to Step 3 for options):

1. direct access by the country,
2. using a delivery partner based on the selection of the best technical and financial offers, or
3. a hybrid approach that combines both methods.

The request should state the intention to utilise the total funding through one or two programmes and include a broad plan for the three readiness objectives each programme aims to achieve. For example, one programme may target Objectives 1 and 3 through direct access, while another might focus on Objective 2, utilising a pre-qualified delivery partner selected via a mini-tender process.

The request can also include the option to request an expert through the GCF Placement Scheme.

Upon receiving the support request, the Secretariat will review and respond to it. Initial feedback will be provided within seven working days. Although the Secretariat aims for a prompt response, the exact time frame may vary due to operational demands and programming considerations.

The previous annual application deadline for readiness proposals no longer applies. Requests can now be submitted at any time during 2024-2027, with the final approval date of 31 March 2028.

Step 2. Strategic Planning of Readiness

Once a Request for Readiness Support is submitted, the Secretariat is ready to engage with the country in the process of defining the needed support using strategic, medium-term approach. This collaborative process helps countries design readiness support that is owned and driven by them.

Strategic, medium-term planning. The GCF Secretariat implements a strategic, medium-term planning approach for readiness support over four years. This involves considering the country's current readiness status (baseline) and defining where it wants to be by the end of the fourth year (specific results). To achieve this, the country will need to undertake a strategic planning process, which will determine specific areas of support, capacity gaps and challenges. The GCF Secretariat provides further details in the illustrative, optional [Guide for Countries on Strategic Planning of Readiness Support](#).

Insights from the planning process will ultimately form part of a Country Mapping of Outcome Log Frame and Identifying Country Readiness Needs. Once readiness needs are clearly identified and prioritized, countries have the flexibility to independently plan their four-year readiness support and develop their readiness proposals (direct access) or seek assistance from the Secretariat. Countries can also utilise the expertise and resources, such as the GCF Placement Expert.

The country will prepare a Terms of Reference (TOR) which will be used to solicit competitive offers from pre-qualified delivery partners.

Coordinated action and stakeholder engagement. The success of readiness support relies on strong collaboration and engagement with key stakeholders. To this effect, NDAs and focal points, in their coordination capacity, must prioritise coordinated action and stakeholder engagement through the following steps:

- (a) **Engage Key Stakeholders:** Collaborate with finance, economy and planning ministries; sector agencies and executing entities; the private sector; and civil society organisations, including Indigenous Peoples, academia, women's organisations, and other relevant groups.
- (b) **Ensure Comprehensive Planning:** Work together with the relevant stakeholders to create an inclusive planning process that leverages the diverse perspectives and inputs of all parties; and
- (c) **Align with National Priorities:** Make sure that the readiness support efforts address the national climate strategies and priorities.

Readiness Access and Delivery Options

Countries may choose to fulfil their Country Readiness Proposal directly (Step 3 – Option 1), or developing a TOR for a competitive bidding process to find the best-suited delivery partner (Step 3 – Option 2), or using a hybrid approach that combines both methods (Step 3 – Option 3).

Step 3 – Option 1. Direct Access by Countries

Direct access to readiness resources follows the following sequence of activities:

1. **Strategic, medium-term planning:** The NDA/focal point, in coordination with relevant country stakeholders, undertakes strategic planning for a multiplicity of readiness needs and foundational gaps in a holistic manner over four years. The [Guide for Countries on Strategic Planning of Readiness Support](#) is provided.
2. **Confirmation of Eligibility:** The NDA/focal point confirms to the Secretariat their eligibility, or that of another appropriate agency designated by the country¹⁰, to receive direct funding from the GCF and to enter into a grant agreement directly with the GCF Secretariat. This must be confirmed formally. The GCF Secretariat stands ready to assist in this process.
3. **FMCA Completion:** The NDA or the agency designated by the country (and confirmed as eligible per the above point) must undergo the Financial Management Capacity Assessment (FMCA) and be deemed eligible to administer GCF readiness funds. The standardised [FMCA](#) is available.
4. **Direct Access Proposal Submission:** The NDA/focal point, in their coordination capacity, prepares and submits a readiness proposal to address the needs identified through the process of strategic, medium-term planning. A standardised template for the Direct Access Proposal is provided.
5. **Contracting:** The NDA and GCF conclude an individual grant agreement. A standardised grant agreement is available upon request.

The NDA/focal point, in their coordination role, may also opt for engaging existing entities with Framework Readiness and Preparatory Support Grant Agreements (framework agreements) with the GCF Secretariat. Framework agreement holders can utilise their existing agreements and receive readiness funds to implement readiness support for the country. The framework agreement holders are exempt from the one-time competitive selection process required for pre-qualification of readiness delivery partners with Long-Term Agreements (LTAs)¹¹. The framework agreement holders can be directly invited by countries to address Country Readiness Needs. To ensure the demand-driven approach to readiness support, this

¹⁰ If the NDA is unable to serve as the contractual entity for receiving GCF readiness funding, the country may designate another agency to fulfil this role. For example, in some countries, the Ministry of Finance manages climate finance, while the Ministry of Environment acts as the NDA for the GCF. In such cases, the country can nominate the Ministry of Finance as the contracting entity responsible for receiving the funds, which can then be transferred to the Ministry of Environment. These arrangements must be clearly defined by the country to ensure smooth implementation of readiness support.

¹¹ Refer to A Note on the Use of the Pre-qualified Delivery Partners, in this section.



process can occur with or without mini competitions, depending on the request and specific needs of the country. It should be noted that some existing framework agreement holders may not be able to participate in mini-tenders, depending on their mandate and restrictions in engaging in competitive processes. A list of current **framework agreement holders** is provided.

Step 3 – Option 2. Use of Pre-Qualified Delivery Partners

Countries may opt to fulfil their Country Readiness Needs through a competitive bidding process to identify the most suitable delivery partner(s) from the **GCF pre-qualified list**.

Given medium-term, integrated nature of readiness programmes potentially spanning multiple technical areas and sectors, it might be necessary to utilise the specialised knowledge and delivery capabilities of a qualified delivery partner or a consortium of delivery partners. Furthermore, with the emphasis on programming objective and the adoption of the new, strategic approach to readiness support, it is expected that NDAs/focal points may frequently seek support from delivery partners who are specifically pre-qualified for the relevant expertise.

The use of pre-qualified delivery partners includes the following sequencing of activities:

- (a) **Strategic, medium-term planning - TOR Development:** The NDA/focal point, in coordination with relevant country stakeholders, undertakes strategic planning for a multiplicity of readiness needs and foundational gaps in a holistic manner over four years. This will form Country Readiness TORs. The GCF Secretariat stands ready to assist in this process.
- (b) **Mini-Tender:** The GCF Secretariat conducts a mini-tender among pre-qualified delivery partners to address the Country Readiness TORs. These partners submit technical and financial proposals that are evaluated by a panel including a country representative, GCF experts and, if needed, independent experts. The focus is on value for money and finding the best solutions for the Country Readiness TORs. A standardised **mini-tender template** for pre-qualified delivery partners is provided.
- (c) **Work Order:** A delivery partner or consortium, selected based on their technical approach, methodology and cost, receives a Work Order from the GCF Secretariat. This order outlines the readiness support activities, deliverables, timelines, reporting and payment terms. Since there is no need for individual grant agreement negotiations, work can begin immediately. A standardised work order for pre-qualified delivery partners is available upon request.

A Note on the Use of the Pre-qualified Delivery Partners

The GCF Secretariat undertakes to pre-qualify delivery partners once during the 2024-2027 period. Pre-qualification will be based on an open and transparent competitive selection process, evaluating delivery partners' expertise in climate investment areas, including technical skills, project design and implementation experience, capacity-building and experience in operating effectively and efficiently in country or regional contexts.

Pre-qualified partners are contracted to GCF through LTAs. While LTAs do not guarantee work, they designate organisations as preferred suppliers for up to five years, allowing them to participate in mini-tenders to address Country Readiness TORs. The mini-tender process is designed to identify the best options in terms of approaches, methodologies and costs offered by top-tier expertise and service providers carefully selected by the GCF Secretariat for their ability to deliver the comprehensive, multi-year, multi-component readiness support.



LTAs are established once in the 2024-2027 period to ensure a rapid start of readiness activities, avoiding delays in individual grant agreement negotiations and FMCAs.

It is important to note how the outlined option for the utilisation of a pre-qualified delivery partners delivers significant benefits to countries, including access to top expertise and improved speed and efficiency in readiness support delivery.

(a) **Access to Top Expertise:** By leveraging pre-qualified delivery partners, countries can benefit from the extensive expertise and experience of professional outfits selected from the open market for their experience in climate financing, technical assistance, project design and capacity-building. This ensures that readiness activities are carried out by highly qualified organisations experienced in a wide range of sector and technology expertise, experience with policy/reform design and implementation and climate investment / project design and implementation as well as reporting and knowledge management and learning.

(b) **Improved Efficiency:** The pre-qualification of delivery partners and the use of LTAs streamline the process of accessing readiness support, reducing the time and administrative burden associated with individual grant contract negotiations.

Countries are put in charge by understanding the value of the various options available, which are designed to provide tailored, efficient and effective readiness support to meet the diverse needs of countries with efficiencies gained at the portfolio level.

Step 3 – Option 3. Hybrid Approach

Countries may opt for a hybrid approach, combining the strengths of both direct access and the use of pre-qualified delivery partners. This method allows countries to tailor their readiness support to specific objectives and programmatic needs. Here is how it might work:

Programme 1 - Specialised Support: A country may implement a readiness programme that addresses Objective 2 through pre-qualified delivery partners who are experts in the design and implementation of climate finance programmes and projects, for example across specific sectors or technologies. This provides benefits of specialised external expertise as well as advantages of streamlined contracting process provided under the LTA.

Programme 2 - Direct Implementation: Simultaneously, the country could tackle Objectives 1 and/or 3 by directly accessing readiness resources. This approach allows the NDA/focal point to closely manage regulatory reform processes and other activities that benefit from a more hands-on approach.

The mix of objectives and/or readiness needs to cover for each programme is entirely at the discretion of the country, allowing flexibility to cater to specific contexts and requirements.

The hybrid approach includes the following sequencing of activities:

1. **Planning and Coordination:** The NDA coordinates with relevant stakeholders to develop a comprehensive approach that integrates both methods.
2. **Strategic, medium-term planning - TOR Development:** For projects implemented through pre-qualified delivery partners, the NDA develops TORs that are addressed via mini-tenders. For direct access, the NDA develops the Direct Access Proposal.



3. **Readiness Delivery:** For projects involving pre-qualified partners, the GCF Secretariat manages the selection process through mini-tenders, followed by issuing Work Orders to the chosen LTA-holders. For direct access, the NDA/focal point confirms their ability to enter into a grant agreement directly and receive funds from GCF, successfully undertakes FMCA, submits a Direct Access Proposal, and follows direct access contracting process.

V. Disbursements by Milestones Framework

This guide, while primarily focused on accessing readiness support, also introduces a Disbursements -by- Milestones (DbM) Framework, which is an important consideration when strategically planning to access readiness support over the medium term.

Why Disbursement-by-Milestone: DbM is designed to enhance the efficiency and effectiveness of readiness expenditure in line with the result-orientation principle of the Readiness Strategy 2024-2027. The strategy emphasises results-orientation and clear causal links between the requested readiness support and the country's NAPs, NDCs, and LTS, as well as the broader GCF Strategic Plan's targeted results.

Well-designed DbM can enhance results delivery by enhancing accountability for achieving practical results and aligning incentives towards achieving them. It fosters innovation and discretion in achieving results and improves efficiency by ensuring disbursements are made based on the progress in achieving milestones for every standardized deliverable. A guidance document on standardized deliverables is available for reference.

How DbM Works: Specific results and/or standardized deliverables are agreed upon:

- If the preferred method involves using GCF pre-qualified delivery partners, the agreement on results will include the GCF Secretariat, the NDA/focal point, and the competitively selected delivery partner.
- If the preferred method is direct access, the agreement on results will include the GCF Secretariat and the NDA/focal point.

Results and standardized deliverables must demonstrate a clear link to the readiness objectives and outcomes outlined in the Readiness Result Management Framework (RRMF), which is the primary reporting tool the GCF Secretariat uses to track and measure the success of the Readiness Programme. The RRMF is revised to align with the Readiness Strategy 2024-2027, with the aim of simplifying and streamlining results management and reporting in line with the three objectives.

The total main envelope for the country support window over four years is USD 7 million per country. The budget should be planned according to the relative weights described in the Readiness Strategy 2024-2027, unless the specific needs of the country necessitate a different weight distribution per objective. Countries are encouraged to plan their readiness support budgets based on their specific readiness needs and priorities. The relative weights per objective in the Readiness Strategy 2024-2027 are:

- 30 per cent for activities under Objective 1
- 60 per cent for activities under Objective 2
- 10 per cent for activities under Objective 3

However, these allocations are not prescriptive. Countries may adjust the distribution of resources to better reflect their unique context, priorities, and capacity needs. Any such variations can be discussed and jointly agreed upon with the GCF Secretariat, which remains committed to supporting country-driven approaches and ensuring flexibility where needed.

NDA/focal points can select standardized deliverables and milestones in the Direct Access Proposals that sets covenants for disbursements, as per approved proposal.

Upon the issuance of a Work Order to a pre-qualified delivery partner or the conclusion of a direct access grant agreement, 25 per cent of the funding is advanced to cover initial costs and initiate readiness activities. The remaining 75 percent of the funding is disbursed based on the achievement of agreed-upon results and deliverables, in instalments proportional to each result or deliverable. Flexibility in the disbursement schedule and percentages may be offered, depending on the project duration and approved funding, and such arrangements should be jointly discussed and agreed upon with the GCF Secretariat.

Payments are released following the approval of standardized deliverables and milestones, as follows:

- If the preferred method involves using GCF pre-qualified delivery partners, approval is required from both the NDA/focal point and the GCF Secretariat.
- If the preferred method is direct access, approval is required from the GCF Secretariat.

Work Orders (in case of delivery partners) or grant agreements (in case of direct access) will specify payment conditions, including the requirements for the initial advance and the verification process for deliverables.

The following financial provisions may be included in the strategic, medium-term planning:

- **Placement Scheme Costs:** Operational costs associated with the Placement Scheme, if and as required, can be planned as eligible expenses. These costs will be detailed, discussed, and agreed upon between the GCF Secretariat and the country. The timing of the Placement Expert's start date relative to the country's access to the main funding window may influence how these costs are handled. If the Placement Expert starts early, costs incurred by the country for the expert's operation during this period may be eligible for reimbursement. If the expert starts after the country accessing the main window, costs may be planned into the overall utilisation of the country's total funding envelope.
- **External Audit:** A provision to cover the cost of an independent, third-party financial audit of readiness resource utilisation. The audit is required annually, beginning from the project start date. Access to an audit report template and TOR is available online.
- **Contingency:** Up to three per cent of the total activity budget may be allocated to address unforeseen or unplanned expenses during the implementation of readiness activities.



Annex 1: Eligible and Non-eligible Costs

The Readiness Programme is a flexible tool to support countries and as such does not rely on prescriptive list of eligible activities under the country support window. While there is no restrictive list of activities to follow, there are eligible and non-eligible costs.

Eligible costs include expenditures necessary for countries to build capacities for direct access to climate finance, supporting the implementation of NDCs, NAPs, and LTS, as well as achieving GCF objectives and targeted results. These costs cover activities related to the operation of the Placement Expert¹², the development or improvement of project ideas, concept notes, and funding proposals. Overall, they include human resources (knowledge and skills), organisational resources (strategies, policies, and information), structural resources (processes and procedures), and material resources (stakeholder engagement events, knowledge management, communication, translation, as well as attendance of GCF events such as regional dialogues, training sessions, capacity-building workshops, and write-shops).

Non-eligible costs include expenditures related to addressing capacity gaps and activities that demonstrate no direct cause-and-effect linkage with countries' NDCs/NAPs/LTS and GCF objectives and targeted results. Furthermore, non-eligible costs encompass activities related to the preparation and development of other readiness proposals, salaries of staff, expenditures related to computer equipment and routine office operational expenses incurred in the regular course of the NDA/focal point daily operations, admission fees, vehicles acquisition and travel costs for international conferences and events unless discussed and agreed with the GCF Secretariat as essential for capacity-building of the country's relevant stakeholders in line with the Readiness Strategy 2024-2027 objectives.

There are the following key reasons for cost eligibility:

- (a) **Optimal use of readiness resources:** It is essential to carefully and efficiently allocate and utilise resources for the objectives of the readiness strategy in 2024-2027. The readiness support should prioritise training, knowledge transfer, and skill development within recipients of grant funding to empower them to take ownership of programming and implementation of climate initiatives;
- (b) **Sustainable capacity-building:** It is imperative to ensure the sustainability of beneficiaries' institutions, to maintain their operations and activities independently, even after external assistance/grant funding ends. This includes fostering early planning of how activities and costs will be funded and managed in the years ahead without grant funding; and
- (c) **Mitigating over-reliance and promoting complementarity:** Readiness support should aim to mitigate over-reliance on external grant funding, particularly for routine operational and staff salary costs. Furthermore, ensuring that readiness funds complement other funding sources, efforts, events, conferences and trainings will help enhance the efficient use of readiness resources.

¹² This includes the fees for Placement Experts, except for LDCs and SIDS, where the fees are covered by a dedicated allocation of USD 320,000 per country over four years.